

Q: How do you plan to achieve that?

A: First, we have been steadily adding capacities because we know that the country doesn't have enough capacity. It doesn't have the technically advanced capacities, neither the advanced means of processing all these [large] plants. Mostly, there are small, old plants. So, we are setting up state-of-the-art plants to get higher productivity and processing, at lower cost and better quality consistency. All these are [being] looked into.

Second, this is a business inside the home, but there is now equal amount of business coming from outside the home. Outside the home business means the hotels and restaurants market, which has great potential. The stakes are getting high because of the growing out-of-home consumption—from the range of 15-20%, the share has grown to 30%. According to estimates, it is now worth ₹60,000 crore annually. In supply chain materials, 30% is vegetables, 20% is meat and fish, and 50% is grocery items & staples—around 100,000 tonnes. The market [for grocery items & staples] is seeing 30-40% CAGR and would eventually become 40-50% of the food consumed. In other countries, we have seen people eat out more because it is as affordable as eating indoors. The local market has not reached that level yet, but in the coming days, with competition growing further, it will soon be. Thus, hotels and restaurants are also looking for suppliers, who can supply them with good quality products consistently. For instance, we are already working with international brands like Domino's that is very strict with the quality standards of wheat that is perfect to make pizzas. We are working with others as well, like McDonald's. This market has major potential but requires large players with advanced technologies at their disposal to meet their specific requirements. The market is already very big in China, where Wilmar is a leading player. As more people start eating out regularly, the market in India will also grow larger. Adani Wilmar will be a big player in the out-of-home business.

Q: In FY24, AWL's sales suffered as edible oil sales declined. How do you mitigate that?

A: Last year, despite growing handsomely, external factors came into play. Volume-wise we grew our edible oil business by 12%, while foods grew by 40%. How-



ever, crude edible oil prices crashed—from \$1,800 to \$900—very fast. Thus, even if you have some hedges, that didn't match the steep fall in prices. So, whatever you have you end up selling that at lower price.

This year, there has been no such problem. Stability is much higher [now] and we could manage. And the brand is always resilient enough to bring back the volumes. Anyway, gaining volumes was not the issue, it was the price. We are doubling our FMCG business every two and half years. Now, with the situation stabilised, I expect to touch ₹7,000-crore revenue for the FMCG business and cross the ₹10,000-crore mark by FY27. The scope for growth is ample as even today, less than 10% of staples consumed in India [is branded]. The transition from non-branded to branded items started some 20 years ago and continues to gain pace. The trend is going to sustain for the next 10 years. Therefore, for companies like ours that have the first-mover advantage, there is no risk on growth.

Q: Deep presence through distribution is a key factor in a vast country like India. What are your plans on that front?

A: Availability of products is very crucial. Consumers tend to give greater importance to that. So, distribu-